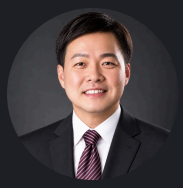
JASON CHOI
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FREE GUIDE

COMMERCIAL BUYER'S GUIDE

# Environmental Site Assessments (ESA)

Phase I, II and III explained — what each one does, when you need it, typical cost and time, and how it fits into buying commercial property in Alberta and BC.




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## Why ESAs Matter

Contamination (for example from fuel tanks, dry cleaning chemicals or past industrial use) can cost far more to clean up than the property is worth — and the owner can be responsible. Lenders usually require a Phase I ESA for commercial property, and it is essential for gas stations, car washes, dry cleaners, auto shops and industrial sites.

## The Three Phases at a Glance

| | Phase I | Phase II | Phase III |
|---|---|---|---|
| Purpose | Find **possible** contamination from records and a site visit | **Confirm** contamination by sampling soil, groundwater or vapour | **Clean up** confirmed contamination |
| Work | Records, databases, aerial photos, site visit, interviews, report | Drilling, monitoring wells, lab testing | Remediation design, cleanup, monitoring, closure |
| When | Before buying, refinancing, rezoning or developing commercial property | When Phase I finds a concern, or the lender requires it | When Phase II finds levels above provincial standards |
| Standard | CSA Z768 (Phase I ESA) | CSA Z769; Alberta Tier 1/Tier 2 guidelines; BC Contaminated Sites Regulation | Alberta EPEA; BC Environmental Management Act |
| Typical time | 2–4 weeks | 4–12 weeks | Months to years |
| Typical cost | $2,000 – $6,000 | $8,000 – $50,000+ | $25,000 to $1 million+ |
| Result | List of concerns (RECs) and whether a Phase II is needed | Test results vs. standards; whether cleanup is needed | Site meets standards; possible regulatory closure (e.g., BC Certificate of Compliance; Alberta remediation certificate where applicable) |

## Key Terms

| Term | Meaning |
|---|---|

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| REC (Recognized Environmental Condition) | A known or likely release of hazardous substances or petroleum on the property |
| Controlled REC | A past release that was addressed, but with ongoing controls (e.g., land-use limits) |
| Historical REC | A past release that was cleaned up with no further action needed |
| Qualified environmental professional | A registered professional (e.g., P.Eng., P.Geo.) experienced in site assessment |
| Remediation | Removing, treating or managing contamination to meet standards |

## How ESAs Fit Into Your Purchase

- **Add an environmental condition** to your offer with enough time for a Phase I — and extra time if a Phase II is needed.
- **Order early.** Phase II work can take weeks, especially in winter.
- **Check your lender's requirements** — some lenders require their own approved consultant.
- **Title insurance does not cover contamination.** Do not rely on it as environmental protection.
- **Who pays:** buyers usually pay for the ESA. Some sellers order a Phase I in advance to speed up the sale. Cleanup costs are negotiated.
- **Disclosure:** real estate professionals must disclose known material latent defects, and sellers can be liable for hiding known contamination. An ESA does not replace disclosure.
- **Asset vs. share purchase:** in a share purchase, past contamination stays inside the company you buy. Gas station buyers usually insist on an asset purchase.
- **Rezoning and development** applications often require a Phase I regardless of a sale.

> **⚠ Never remove an environmental condition**
> while a Phase I concern is unresolved. If a REC is found, get the Phase II results — and price any cleanup — before the deal becomes firm.

**Buying a gas station, industrial site or other commercial property?**
I coordinate environmental due diligence with your consultant, lender and lawyer. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**. English and 한국어.

General information only. Not legal, engineering or environmental advice. Costs and timelines are approximate and depend on the site. Retain a qualified environmental professional and get legal advice on contract conditions and disclosure. Prepared by Jason Choi, REALTOR®, First Place Realty. Updated November 2026.